BUSINESS SOFTWARE REFERENCE

Frappe Accounting

ERPNext Accounting features & workflow

A practical reference for business teams: documents, money movements, ledger entries, financial reports and controls.

FEATURE TREE / WORKFLOW TREE / WORKED EXAMPLE

Prepared for Judibas product discussion

Research checked: 21 October 2026
Includes a separate Frappe Books overview

> Independent guide based on official public documentation. No private ERPNext or Frappe Books account was inspected. Product behaviour depends on the installed version, permissions and configuration.

01 / Scope and product names

ERPNext Accounting is the main subject of this guide. It connects financial records to business documents and their ledger effects. **Frappe Books** is a separate accounting product; it is summarized on page 16. Do not assume the two products share every screen or feature. [1, 16]

Pages	What you will find
3-4	Feature tree and accounting workflow tree
5-8	Setup, sales, purchases, payments and banking
9-12	Journals, budgets, reports, permissions and audit
13	Complete service-business accounting example
14-15	Related workflows, rollout checklist and glossary
16-17	Frappe Books overview and official sources

The basic idea

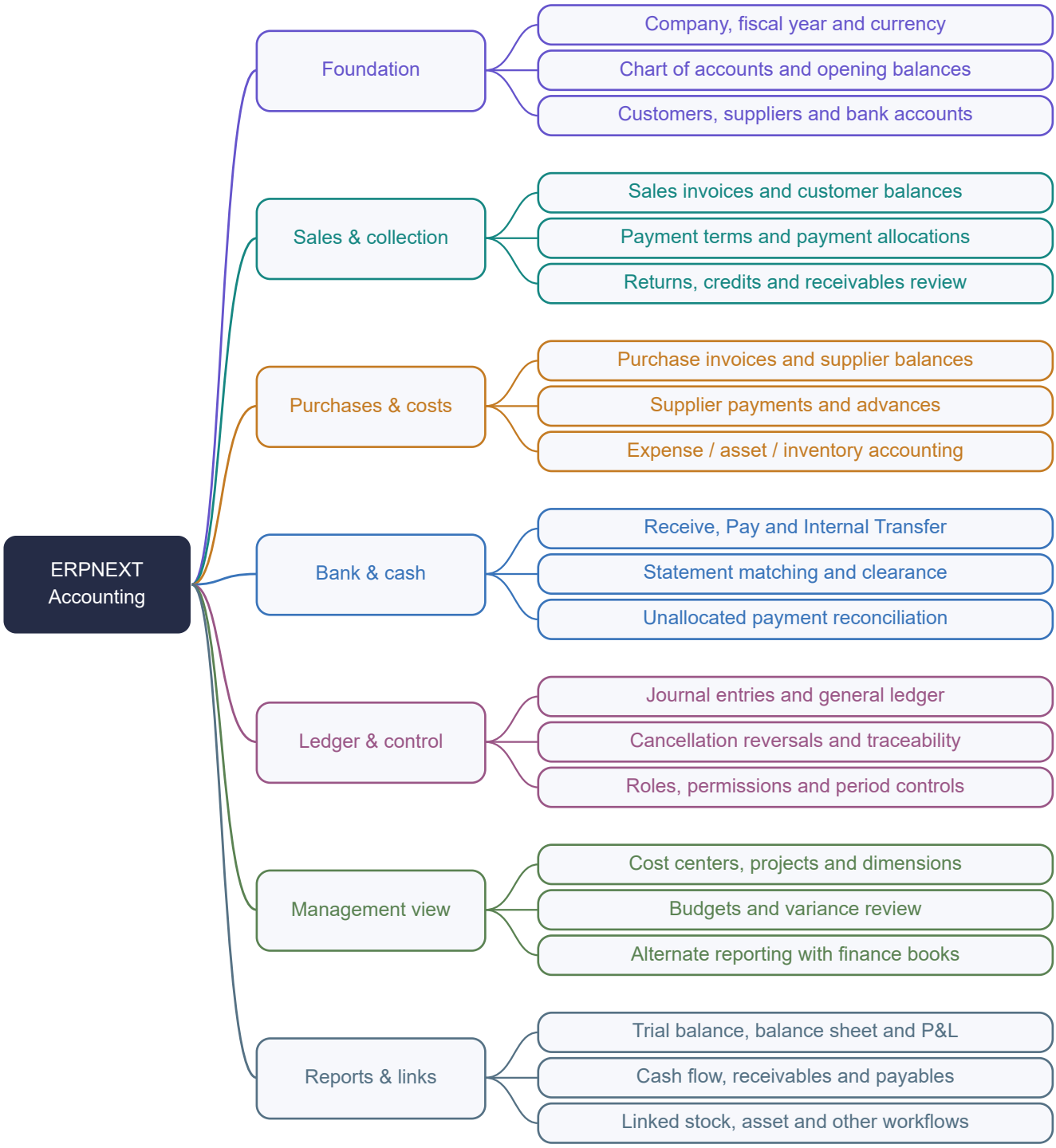
An operational document describes the business event. Submitting an accounting document creates its ledger effect. Receiving or paying money is a separate event from issuing an invoice. Reports summarize the resulting records. [1, 13]

> **Labels:** [D] documented ERPNext behaviour. [C] dependent on setup, related modules or version. [E] illustrative example or recommended practice. This is an overview for understanding and scoping, not an exhaustive field-by-field implementation manual.

Sources: [1] ERPNext accounting introduction, [13] Accounting entries, [16] Frappe Books product overview

02 / Accounting feature tree

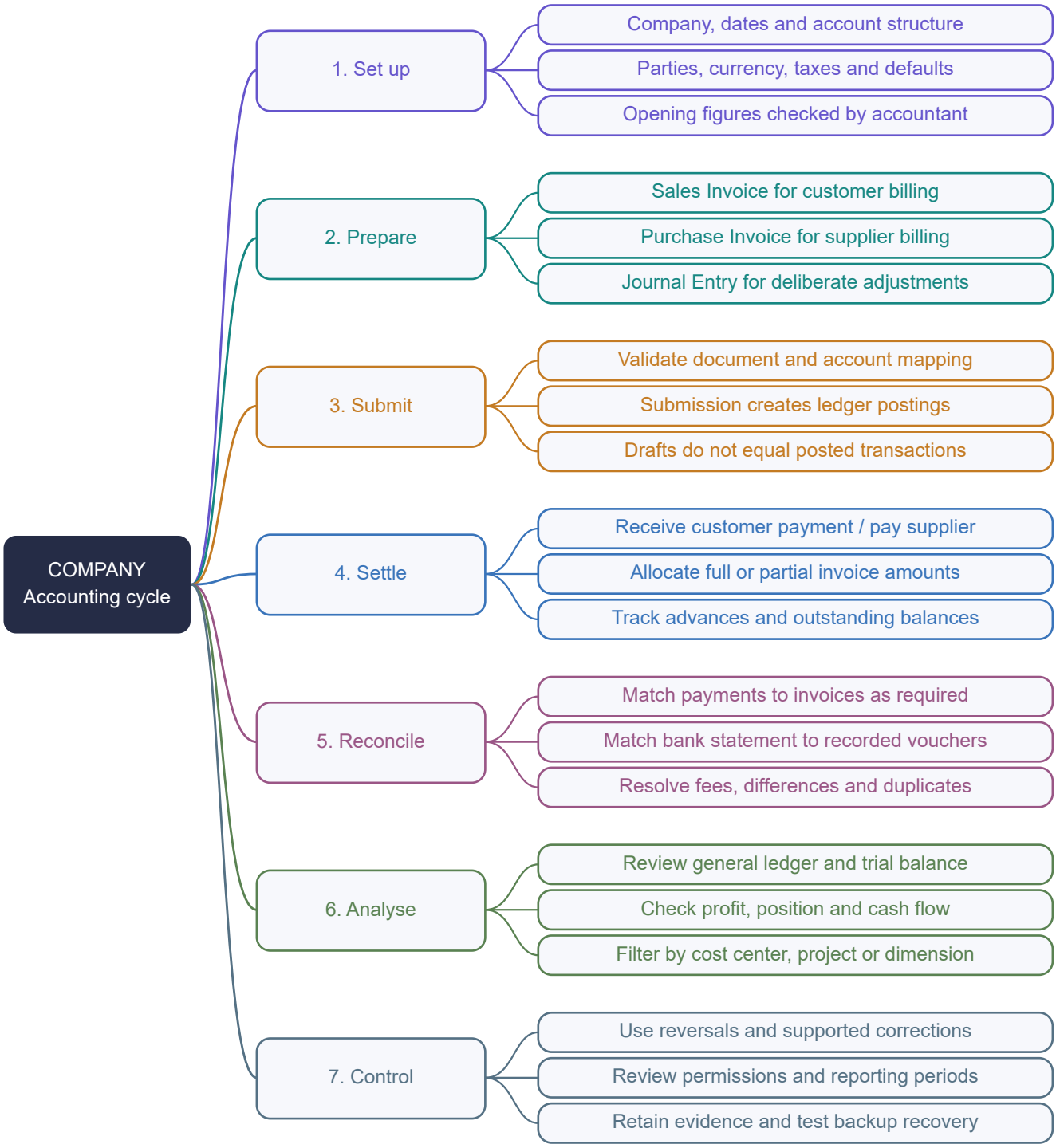
Conceptual map of ERPNext Accounting. These branches explain the product structure rather than reproduce one version's navigation menu.



Sources [1-12, 14-15, 18]. Operational integrations need their related modules and configuration.

03 / Accounting workflow tree

How a business event becomes a posted accounting record, is settled, and appears in management reports.



Document and ledger flow: [3-7, 12-13]. Review and recovery activities in step 7 include recommended operating practices [E].

04 / Company and account setup

Chart of accounts [D]

The chart is a hierarchy for assets, liabilities, equity, income and expenses. Group accounts organize the tree; actual postings use ledger accounts. Account type, company and currency influence how accounts can be used. [2]

Account family	Plain-language purpose	Example [E]
Assets	Resources controlled by the business	Bank, cash, receivables
Liabilities	Amounts owed	Supplier payables, accrued costs
Equity	Owner interest and retained results	Capital, retained earnings
Income	Revenue earned	Consulting revenue
Expenses	Costs incurred	Rent, utilities

Recommended setup order [E]

- Confirm company identity, reporting currency and fiscal dates.
- Agree the account structure and default receivable/payable accounts.
- Prepare customer, supplier, item and bank details.
- Configure relevant taxes, payment terms and cost centers.
- Choose one migration cutoff and reconcile opening balances.
- Test draft and submitted transactions before wider rollout.

> Company setup defines the accounting entity. A department or project reporting tag does not create another legal company. Avoid building a separate account for every department when a dimension can represent that distinction. [8]

Sources: [2] Chart of accounts, [8] Accounting dimensions

05 / Sales and customer collection

Sales Invoice [D]

A Sales Invoice records the customer obligation, income and applicable taxes when submitted. It can follow a Sales Order or Delivery Note, or be entered directly. Item income accounts, payment terms and reporting dimensions must be correct. Stock updating is a separate choice that must match the delivery workflow. [3]

Step	Business purpose	Check [E]
Prepare invoice	Define customer, goods/services and amount	Company, currency, dates and item rates
Review and submit	Post the invoice accounting effect	Income account, tax and due date
Record receipt	Recognize money received	Bank/cash account and reference
Allocate payment	Connect receipt to invoice	Correct invoice and allocation amount
Follow up	Collect the remaining balance	Receivables and overdue balances

Partial payment example [E]

Invoice the customer Rs 100,000 and receive Rs 60,000. If that receipt is allocated to the invoice, Rs 40,000 remains outstanding. The receipt is not a second sale. Multiple payments can settle one invoice, and a payment may cover several invoices. [5]

> A draft invoice is not the same as a submitted invoice. A submitted invoice is not proof of payment. Keep document status, accounting posting and cash collection distinct.

Sources: [3] Sales invoice, [5] Payment entry

06 / Purchases and supplier balances

Purchase Invoice [D]

A Purchase Invoice records a supplier bill and, on submission, its payable and related expense, asset value or other account effects. It may be based on a Purchase Order or Purchase Receipt, or entered directly. Review supplier references and posting dates. [4]

Scenario	Typical route	Key distinction
Service bought on credit	Purchase Invoice, then Payment Entry	Expense and payment happen separately
Goods already received	Invoice from the existing Purchase Receipt	Avoid recording receipt twice
Goods and bill together	Invoice with stock update where appropriate	Requires the intended stock configuration
Supplier paid in advance	Advance Payment Entry and later allocation	Payment may precede the final invoice

Unpaid supplier example [E]

A service bill is Rs 30,000. After a payment of Rs 20,000 is allocated, Rs 10,000 remains payable. The bill still records a Rs 30,000 obligation; the payment settles part of it. [5]

> **Recommended check [E]:** confirm whether stock was already received through another voucher before enabling invoice stock updates. Check duplicate supplier invoice references before submission.

Sources: [4] Purchase invoice, [5] Payment entry, [14] Inventory accounting

07 / Payments, allocation and banking

Payment Entry [D]

Payment Entry supports Receive, Pay and Internal Transfer. It records account movements, parties, references and allocations. Advances may remain unallocated until matched later. [5]

Tool	Purpose	What it does not prove
Payment Entry	Record money received, paid or transferred	An unallocated receipt does not settle a specific invoice
Payment Reconciliation	Allocate existing payments/credits to invoices	It does not compare your books with a bank statement
Bank Reconciliation	Match statement lines with recorded vouchers	An imported statement line is not automatically a new sale
Internal Transfer	Move money between company accounts	It is not additional business income

Bank reconciliation [D]

Select the company bank account and date range, import or synchronize transactions through supported methods, and match statement activity to existing vouchers. Check for an existing record before creating a missing one. Record fees and explain timing differences. Verify the ending balance against the statement. [7]

> A cheque reference is a payment reference, not a complete cheque-management lifecycle. Issued, held, deposited, cleared, returned and replaced cheque states need a separately agreed workflow [E]. Bank-provider support must also be verified for the chosen country and installation [C].

Sources: [5] Payment entry, [7] Bank reconciliation

08 / Journals and ledger protection

Journal Entry [D]

A Journal Entry records balanced debits and credits directly. It is suitable for adjustments, accruals, opening balances, write-offs and revaluations. Normal customer receipts and supplier payments are generally clearer through Payment Entry because it handles party and invoice allocations explicitly. [6]

Illustrative event [E]	Debit	Credit
Recognize unpaid electricity Rs 8,000	Utilities expense 8,000	Accrued liability 8,000
Owner deposits Rs 50,000	Bank 50,000	Owner capital 50,000
Expense prepaid for future period	Prepaid expense	Bank

Corrections and cancellation [D]

ERPNext's immutable-ledger design preserves original postings and records reversals on cancellation. Corrections should follow the supported document process rather than manually overwriting ledger rows. Backdated accounting or stock changes can affect later values and require careful diagnosis. [12]

> **Recommended control [E]:** restrict journal and cancellation permissions, require a clear explanation and retain supporting evidence. A balanced journal can still use the wrong accounts, party or reporting period.

Sources: [6] Journal entry, [12] Immutable ledger

09 / Dimensions, budgets and books

Accounting dimensions [D]

An account describes what occurred; a dimension describes the business segment. ERPNext treats Cost Center and Project as dimensions and supports configurable additional dimensions, such as Department. Required dimensions affect submission and should be tested across invoices, payments and journals. [8]

Example [E]	Account	Reporting tag
Marketing campaign	Advertising expense	Department = Marketing
Client implementation	Service revenue	Project = Client Portal
Office rent	Rent expense	Cost Center = Head Office

Budgets [D / C]

Budgets compare planned account amounts against activity for a configured segment and period. Warning or blocking depends on the selected transaction stages and control settings. Matching company, dates, account and dimension values matters. [9]

Finance Book [D / C]

Finance Books support alternate accounting treatments or report views within the same company. Use one only when that requirement exists; it is not a replacement for separate companies or department tagging. Keep the selected book explicit when comparing results. [15]

> Recommended design [E]: begin with a clean account tree and a small number of useful dimensions. Add complexity only where it answers a real reporting or control requirement.

Sources: [8] Accounting dimensions, [9] Budgets, [15] Finance books

10 / Reports and management decisions

Accounting reports present posted transactions from different perspectives. Choose the report according to the question, then trace unusual figures to source vouchers. [10, 18]

Report	Question answered
General Ledger	Which debit/credit entries produced this balance?
Trial Balance	What are opening, movement and closing balances by account?
Balance Sheet	What does the company own and owe on a date?
Profit and Loss	What income and expenses produced the period result?
Cash Flow	Why did cash change across business activities?
Accounts Receivable	Which customer invoices remain unpaid or overdue?
Accounts Payable	Which supplier amounts remain due?
Payment Ledger	How do invoice/payment allocations explain outstanding balances?

Reading sequence [E]

- Start with the financial statement or outstanding-balance report.
- Confirm company, date range, currency and any dimension or Finance Book filters.
- Open detailed ledger activity for an unexpected account or party.
- Open the original submitted voucher and review its allocations.

> A trial balance that balances is not proof that every transaction is correct. An incorrect expense classification can leave debits and credits perfectly equal [E].

Sources: [10] Accounting reports, [18] General ledger

11 / Roles, approvals and audit

Permission model [D]

Roles grant access to document types and actions such as reading, writing and submitting. Additional user restrictions and field permission levels can narrow access. A job title alone should not determine unrestricted financial access. [11]

Suggested responsibility [E]	Typical access to consider
Accounts operator	Prepare invoices and payments within assigned company scope
Accountant	Review postings, reconcile accounts and prepare adjustments
Accounts manager	Authorize sensitive accounting actions and oversight
Business manager	Read permitted reports and relevant business documents
System administrator	Maintain the application; grant financial powers explicitly
Employee / customer	Only the documents and portal workflows relevant to them

Document controls [E]

- Separate preparation, approval and payment responsibilities where practical.
- Test read, submit, cancel, amend, export and cross-company access.
- Require clear references and evidence for sensitive changes.
- Use supported reversal/correction processes and review period boundaries.
- Test backup restoration; an export alone is not a complete recovery plan.

> The responsibility matrix is a proposed operating policy. It is not a claim that these exact restrictions or approval stages are enabled by default. Configure and verify them in the chosen ERPNext version.

Sources: [11] Role-based permissions, [12] Immutable ledger

12 / Complete accounting example

Original service-business illustration [E]: one currency, no tax, no stock, no opening balances and no other activity. Amounts are in rupees.

Business event	Document	Illustrative posting
Bill customer Rs 100,000	Submitted Sales Invoice	Debit receivables 100,000; credit revenue 100,000
Receive Rs 60,000	Allocated Receive Payment Entry	Debit bank 60,000; credit receivables 60,000
Supplier service bill Rs 30,000	Submitted Purchase Invoice	Debit expense 30,000; credit payables 30,000
Pay supplier Rs 20,000	Allocated Pay Payment Entry	Debit payables 20,000; credit bank 20,000

What the reports should explain

Measure	Amount	Interpretation
Revenue	Rs 100,000	Earned amount in this illustration
Expense	Rs 30,000	Cost incurred
Profit	Rs 70,000	Revenue minus expense
Net bank movement	Rs 40,000 increase	60,000 received minus 20,000 paid
Customer receivable	Rs 40,000	Still to collect
Supplier payable	Rs 10,000	Still to pay

> Profit is not cash received. Payments change settlement and bank balances; they do not create another invoice. Exact account names and postings depend on configuration. This is an explanation of accounting logic, not a local tax calculation.

Sources: [13] Accounting entries, [3] Sales invoice, [4] Purchase invoice, [5] Payment entry

13 / Links with other business modules

Stock and inventory [D / C]

Stock movements can connect to financial entries under perpetual inventory. Delivery, receipt and invoice flows must be designed together so that stock is not updated twice. Review stock account mappings and reconcile stock-related ledger values using the supported reports. [14]

Related area	Relationship to accounting	Scope decision [E]
Sales / CRM	A commercial opportunity can lead to an order and invoice	Decide the handover point from CRM
Purchasing / inventory	Receipts and supplier bills explain goods and obligations	Choose receipt versus invoice stock updating
Assets	Asset acquisition and subsequent accounting have specialized workflows	Confirm the asset module and policy
Projects	Project tags segment revenue and costs	Define shared project identifiers
HR / payroll	Payroll or claims can produce financial obligations	Confirm the installed HR/payroll apps
Cheque management	References and clearance relate to payments	Define the full cheque lifecycle separately

For Judibas planning [E]

Use this as a functional reference. A similar feature list does not migrate ERPNext's accounting engine into Laravel. Reusing ERPNext through integration versus implementing a Judibas-native ledger are different projects, with different data ownership, testing and maintenance requirements.

Sources: [1] ERPNext accounting introduction, [8] Accounting dimensions, [14] Inventory accounting

14 / Rollout checklist and glossary

Recommended acceptance checks [E]

- Opening balances and unpaid invoices match the agreed migration cutoff.
- Invoice submission, partial payment and allocation produce expected balances.
- Supplier bills, advances and final payments reconcile correctly.
- Cancellation retains traceable original and reversal records.
- Bank matching does not create duplicate transactions.
- Reports agree under consistent company, period and dimension filters.
- Unassigned users cannot read, modify or export another company's financial records.
- Large exports, backups and simultaneous users are tested before launch.

Plain-language glossary

Term	Meaning
Ledger account	Posting account used to classify financial effects.
Voucher	Source accounting document linked to ledger activity.
Receivable / payable	Amount to collect / amount owed.
Allocation	Link between payment amount and an invoice or reference.
Cost center / dimension	Business segment used for analysis or control.
Journal	Deliberate balanced debit/credit entry.
Reversal	Opposite posting preserving the original transaction trail.
Reconciliation	Explaining differences between records and supporting evidence.

Sources: [2] Chart of accounts, [5] Payment entry, [6] Journal entry, [7] Bank reconciliation, [12] Immutable ledger

15 / Frappe Books: separate product

Current product scope [D]

The official Frappe Books site now describes a Frappe Framework application that teams can use in a browser on their own server, including from a phone. It states that the old desktop application is no longer supported. Older comparisons describing Books only as desktop software should therefore not be used for current product decisions. [16]

The product overview lists quotes, invoices, payments, supplier bills and returns; inventory and point of sale; double-entry accounting; and reports including Profit and Loss, Balance Sheet, General Ledger and Trial Balance. It also describes team permissions. [16]

How to evaluate it separately [E]

Question	What to inspect
Is the workflow simple enough for your team?	Try sales, purchasing and payment allocation with sample records.
Does it meet local requirements?	Verify relevant taxes, printed documents and any required local integrations.
Does it cover the controls you need?	Test permissions, corrections, reporting and recovery.
Does it fit the wider suite?	Compare actual integration needs against ERPNext and Judibas.

Its report documentation describes filtered report tables, exports and links back to underlying documents. Confirm the exact installed release before documenting a production workflow. [17]

> The ERPNext feature and workflow trees in this guide describe ERPNext Accounting. They are not a promise that Frappe Books implements every ERPNext dimension, budget, permission or operational feature.

Sources: [16] Frappe Books product overview, [17] Frappe Books reports

16 / Official sources

Public official documentation checked on 21 October 2026. Menu labels, supported workflows and localization differ by release and configuration.

1. **ERPNext accounting introduction**
   https://docs.frappe.io/erpnext/accounting-introduction
2. **Chart of accounts**
   https://docs.frappe.io/erpnext/chart-of-accounts
3. **Sales invoice**
   https://docs.frappe.io/erpnext/sales-invoice
4. **Purchase invoice**
   https://docs.frappe.io/erpnext/purchase-invoice
5. **Payment entry**
   https://docs.frappe.io/erpnext/payment-entry
6. **Journal entry**
   https://docs.frappe.io/erpnext/journal-entry
7. **Bank reconciliation**
   https://docs.frappe.io/erpnext/bank-reconciliation
8. **Accounting dimensions**
   https://docs.frappe.io/erpnext/accounting-dimensions
9. **Budgets**
   https://docs.frappe.io/erpnext/budget
10. **Accounting reports**
    https://docs.frappe.io/erpnext/accounting-reports
11. **Role-based permissions**
    https://docs.frappe.io/erpnext/role-based-permissions
12. **Immutable ledger**
    https://docs.frappe.io/erpnext/immutable-ledger-in-erpnext
13. **Accounting entries**
    https://docs.frappe.io/erpnext/accounting-entries
14. **Inventory accounting**
    https://docs.frappe.io/erpnext/accounting-of-inventory-stock
15. **Finance books**
    https://docs.frappe.io/erpnext/finance-book
16. **Frappe Books product overview**
    https://frappe.io/books
17. **Frappe Books reports**
    https://docs.frappe.io/books/reports
18. **General ledger**
    https://docs.frappe.io/erpnext/general-ledger

This guide contains paraphrased research, original diagrams and illustrative examples. No private installation, production ledger or local regulatory integration was inspected.